Prediction Markets: A New Kind of Asset Class

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Every major financial innovation looked like gambling before it became infrastructure.

The Exchange of Hendrick de Keyser - 1611

VOC - The start of global shares trading

By the late 1600s, Amsterdam traders were using sophisticated options contracts. Critics dismissed them as speculative "wind trade" - selling air, not real commerce. In London, similar derivatives faced decades of legal hostility, alternately banned or condemned as fraudulent gambling schemes.

In 1867, Illinois wrote a constitutional ban on futures contracts, essentially calling them gambling on farm products, though the ban was repealed two years later when farmers realized they actually needed price hedging.

Fast forward: derivatives markets are now many times larger than cash equity trading, and commodities futures are core infrastructure for global food and energy markets. The supposed 'gambling schemes' became the foundation of modern risk management.

The pattern repeats. Something emerges that looks like gambling, gets dismissed as speculation, then quietly becomes infrastructure when the right conditions align.

Crypto has followed a similar arc. 'Magic internet money' in 2013; 'rat poison squared' in 2018; a roughly $2 trillion asset class again by 2024, with regulated ETFs and some institutional and public-sector capital now involved.

Prediction markets are the next chapter. Not as a separate asset class from crypto, but as **crypto's first fundamentally new primitive** - not a digital version of equities or bonds or commodities, but **markets for information about future states that only really scale on open, permissionless rails.**

The Primitives Stack

Bitcoin gave us digital gold - a commodity-like store of value. Ethereum added programmability. Then came waves of new primitives:

ERC20 tokens → Fungible assets, equity-like instruments with governance and cash flows

ERC721 (NFTs) → Non-fungible property rights, digital ownership

Perpetual futures → Leveraged synthetic exposure, the crypto version of derivatives

Stablecoins → Dollar-pegged rails for onchain commerce

Each primitive required different infrastructure. You can't trade NFTs on a spot exchange built for fungibles. Different properties, different tooling, different markets.

Prediction markets are the next primitive. But unlike previous innovations, they're not a crypto version of something that already existed in TradFi.

They're **probabilistic claims on future truth** that could only reach scale on permissionless infrastructure. And they require fundamentally different infrastructure than any crypto primitive that came before.

Why Prediction Markets Are Different

Prediction markets are fundamentally different. They are **decaying assets** governed by two forces:

Time-Bounded Decay

Every prediction market position has a known expiration date. The 2024 election market resolved November 5th. The Super Bowl market resolves in

February. These are finite-duration assets.

Compare to every other crypto primitive: ETH exists indefinitely. NFTs persist forever. Even perpetual funding cycles indefinitely. Prediction markets are the first crypto primitive with built-in expiration.

This creates unique pricing dynamics. There's no "**hold forever**" strategy. Every position is a temporal play.

Binary Convergence to Truth

Token prices fluctuate around uncertain fair value forever. What's the "correct" price of ETH? Depends who you ask(re: exchanges). It'll be debated as long as the network exists.

Prediction markets collapse to objective truth. The election market will resolve to 0 or 100 based on who wins. No debate, no uncertainty, no ongoing price discovery after resolution.

This creates a fundamentally different profit mechanism: **temporal arbitrage**.

You're not trading "**what will the price be in 6 months**" (unknowable). You're trading "how will probability estimates converge toward truth as resolution approaches" (game-theoretically bounded).

An election market might trade 40 → 60 → 45 → 70 → 55 over six months. Traditional spot traders need the final outcome to profit. But if you could trade that volatility with leverage? You capture every swing without caring about the final result.

That's a new primitive. Not token-like, not NFT-like, not perp-like.

Only Possible on Permissionless Rails

Here's why prediction markets couldn't scale in TradFi but can in crypto:

Traditional prediction markets hit regulatory walls immediately. Intrade shut down. PredictIt capped at $850 per trader. Anything that looked like unregulated derivatives got strangled.

But on permissionless infrastructure? Global access, USDC settlement, no KYC chokepoints, censorship resistance. You can trade the US election from anywhere, settle instantly in stablecoins, compose with DeFi.

This isn't just "crypto makes it easier." This is **crypto makes it possible at all**.

Prediction markets are crypto's first primitive that couldn't meaningfully exist in TradFi. Every other crypto innovation (tokens, NFTs, perps) has TradFi analogs. Prediction markets don't.

The Infrastructure Gap (And Why It Mattered)

Here's the pattern across all crypto primitives: **spot markets come first, derivatives unlock scale**.

Bitcoin had spot trading for years before CME futures (2017). That was the institutional legitimacy moment. Ethereum had spot markets before perps. NFTs had marketplaces before derivatives and financialization layers.

The derivatives layer is always 10-100x larger than spot. Not because people prefer complexity, but because sophisticated capital requires leverage, hedging, and risk management tools.

Prediction markets followed the same pattern - but the infrastructure took longer.

2000s-2015: The First Wave Dies

Intrade was doing $50M+ volume on presidential elections by 2012. Then regulatory pressure killed it. Betfair stayed alive in Europe but couldn't touch US users. PredictIt got an academic research exemption capped at tiny size.

The problem wasn't demand. The problem was infrastructure: fiat rails meant regulatory chokepoints, closed systems meant no composability, no margin meant no institutional participation.

2015-2022: Crypto Rails, No Liquidity

Augur launched in 2015 with the dream: prediction markets on Ethereum, censorship-resistant, global access. Beautiful in theory. In practice? $5M total volume over 4 years. Gnosis built better UX, same result.

Why? Gas fees made small markets uneconomical, no onramps for normies, terrible UX, and critically - **still no leverage or derivatives layer**.

2022-2024: Polymarket Breaks Through

Different approach: USDC on Polygon, clean UX, no token, focus on real events people care about. It worked.

$4B+ monthly volume by late 2024. Presidential election markets hit $450M in open interest. Mainstream media citing Polymarket odds. Retail traders making 6-7 figures on single events.

But still - spot only. You want to bet $10k on an election? You put up $10k. No

leverage, no derivatives.

Which means prediction markets were stuck where Bitcoin was in 2016: real liquidity, real use cases, but missing the infrastructure layer that lets institutional capital enter.

The Missing Piece: Margin Infrastructure

Every mature crypto primitive has a derivatives layer. Perps for tokens. Financialization for NFTs. Options for ETH.

Prediction markets had none. Why?

The Gap Risk Problem

Binary events can instantly move from any probability to 0 or 100. A candidate wins, the position goes to 100. No gradual liquidation, no time to manage risk with traditional margin systems.

This is fundamentally different from crypto perps. ETH can't teleport from $2000 to $0 in one block. There's always a liquidation pathway.

Prediction markets have no pathway. Binary resolution is instantaneous. Traditional margin mechanics break.

But what if you don't hold through resolution? What if leveraged positions are systematically closed before the binary event happens?

Then you're not trading outcomes - you're trading probability volatility. The gap risk disappears. Traditional margin mechanics work.

This is the innovation that unlocks everything.

When prediction markets have margin infrastructure, they're no longer just "bet on events." They become **tradeable probability volatility** - a financial primitive for capturing information convergence over time.

When this happens, prediction markets will have what Bitcoin got in 2017

with CME futures: the infrastructure that unlocks institutional capital.

The 2025 Inflection Point

Several threshold conditions hit simultaneously:

Liquidity & Volumes Crossed the Minimum Viable Threshold

Polymarket and Kalshi has sustained multi-billion-dollar monthly volumes at its peaks, they have likely facilitated tens of billions of dollars in cumulative trading across event markets.

Crypto Infrastructure Matured

Stablecoins reached $200B market cap. L2s became fast and cheap. Composable DeFi primitives ready for integration.

The pipes are built. Now you can build products on top.

The Margin Layer Is Being Built

This is the critical piece.

When margin infrastructure launches, prediction markets get what every other crypto primitive already has: leverage, derivatives, and the capital efficiency that brings institutional participation.

Cultural Moment Arrived

Prediction markets went mainstream. Presidential election odds cited on cable news. Polymarket whale moving markets becomes a story. The primitive hit cultural escape velocity.

What This Unlocks

When prediction markets have mature derivatives infrastructure, here's what becomes possible:

Every Scheduled Event Becomes Tradeable

Elections, sports championships, policy decisions, product launches, economic data releases, climate milestones. Anything with a defined resolution date and objective outcome.

The total addressable market isn't "prediction market enthusiasts." It's "every event humans want to express conviction with capital."

Institutional Participation

Hedge funds can run cross-asset strategies. Hedge election risk against equity portfolios. Trade geopolitical probability against commodity positions. Use event markets for tail risk management.

This is already happening in small scale. With proper margin infrastructure, it

scales.

DeFi Composability

Prediction market positions as collateral. Yield-bearing assets backed by margin activity. Secondary markets for leveraged probability exposure.

Just as liquid staking derivatives (stETH, rETH) created a composability layer for staked ETH, prediction markets will have their own composability primitives.

Financial Innovation

Volatility derivatives on event probability. Structured products. Index products tracking geopolitical risk or policy uncertainty.

Someone will create a prediction market VIX. Someone will tokenize portfolios of event positions. Someone will build synthetic exposure products.

This is what happens when a new primitive matures. The derivatives become more important than the underlying.

The Pattern Repeats

Most people still see prediction markets as gambling. Regulatory gray zones, association with sports betting, no institutional recognition.

That's **exactly** where Bitcoin was in 2015.

$300 per coin, dismissed as dark web money. No ETFs, no custody solutions, no institutional on-ramps. Serious finance people wouldn't touch it.

Then infrastructure arrived. Coinbase got proper licensing. CME launched futures. Custody solutions emerged. By 2024, BlackRock has a Bitcoin ETF.

The pattern: infrastructure precedes acceptance by 3-5 years.

NFTs followed the same arc. "JPEGs for money launderers" in 2019. By 2021/2022, major brands are launching collections, and financialization infrastructure is built.

Prediction markets are entering the infrastructure phase now. The spot markets proved demand. The derivatives layer is being built. The composability into DeFi is starting.

In 5 years, having prediction market exposure in a portfolio will be unremarkable. It'll be another row in the DeFi dashboard, another primitive to compose with.

What This Actually Means

New crypto primitives emerge maybe once every 2-3 years. Stablecoins, perps, NFTs, liquid staking derivatives.

Prediction markets are next. Not because they're novel (they've existed for centuries in informal forms), but because the infrastructure stack that makes them tradeable at scale is finally being built.

And unlike previous primitives, this one couldn't exist anywhere else. You can't build permissionless, global prediction markets on TradFi rails. The regulatory chokepoints kill it immediately.

This is **crypto's unique contribution** - the first financial primitive that's native to permissionless infrastructure, not a digital version of something that already existed.

When the history of 2020s crypto is written, 2024-2025 will be [illegible] the inflection point. The year prediction markets crossed from experimental to inevitable.

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The early participants won't be the people who waited for proof. They'll be the people who recognized the pattern and built infrastructure during the "it's still too early" phase.

We're in that phase right now.

And that's when you want to pay attention.